

IN SEARCH OF A FORECAST

TRYING TO REMAIN CALM ABOUT THE MOST RECENT SETBACKS, I analyzed the situation and realized I'd been missing something. No matter how good any stock happened to be, the short-term trader had to pay close attention to the mood of the market he was in. A positive market pulled most everything up with it, but in a downturn, the odds were against any stock's gaining ground. It occurred to me that if I continued with my short-term strategy, I'd have to get a better sense of the character of the stock market overall. For the options player, especially, timing was critical to any success.

Predicting the general direction of the markets was the work of another group of experts, the forecasters. Forecasters were hired by the big brokerage firms to ponder the future of interest rates, stock prices, and the economy as a whole. Though not all forecasters were economists, many of the 60,000 economists in the nation were called upon to make predictions.

Knowing that I couldn't afford another mistake like the last few, I began an intense at-home study of what the various forecasters had been saying. In a single week of watching as many of them as possible on television, I heard the stock market described as a psychiatric problem ("lost and without direction"); a football game ("coming back from fourth-and-ten"); a stomach ailment ("struggling to digest recent gains"); and a weather report ("rising pressure and a possible washout"). A succession of experts said that the market was: "correcting," "pausing," "long in the tooth," "accumulating," "overbought," and "tired." Others noted that it was "consolidating," "in a negative mood," "waiting to see what Congress would do," or that it had "overstepped its bounds,"